Egyptian International Pharmaceutical Industries Company (EIPICO)

Independent valuation study · The Egyptian Exchange · ticker PHAR · Egyptian pounds

Prepared 9 September 2026 · share price EGP 127.30 at the close of 3 September 2026 · 168.756 million shares in issue

Read first

What this is. An independent, educational valuation of a listed Egyptian pharmaceutical manufacturer, built from the company's own audited financial statements. It contains no rating, no recommendation and no price target. It expresses value as a RANGE and, separately, as a probability distribution.

What it is built on. Four consecutive years of audited consolidated financial statements — FY2022 through FY2025 — with the auditor's report and full notes, together with the board of directors' own operating statistics and the company's investor presentation. Every historical figure in this study traces to one of those documents. No data vendor, broker note or press report is used to build any number about the company itself.

The one number to hold on to. There is no single number, and that is deliberate. Five readings put fair value between EGP 31 and EGP 55 a share. Because the contested judgement below is carried BOTH ways and the two are never averaged, the study publishes TWO weighted centres: EGP 31.30 a share on the permanent-provision reading and EGP 47.51 on the normalising one. The market price is EGP 127.30. That gap is the study, and section 1.7 states exactly what would have to be true for the market to be right.

What this study deliberately does NOT do. It does not put a revenue line on the company's new biologicals plant, because the company has published no volume, price or utilisation guidance for it. It charges the plant's depreciation and its interest, because both follow mechanically from the licence the company obtained in December 2025. Section 1.7 then solves for how much the plant must sell to justify the market price and states that in observable units.

This is the second edition. It folds in the reviewed first quarter of 2026 and the separately issued audited FY2023 and FY2024 statements, obtained after the first issue. The first quarter CONFIRMED the study's central mechanism — the construction balance is transferring and the depreciation charge has more than doubled — but it also came in softer than the first edition assumed on revenue, associates and capital spending. The weighted centre moves from a single EGP 79.64 to a PAIR — EGP 31.30 and EGP 47.51 a share. Section 7 lists what changed and by how much.

The first-quarter review is QUALIFIED. The auditor qualified the conclusion on three matters: the associates' own periodic statements were not received; the active-ingredient company was recognised at cost after loss of control rather than remeasured and equity-accounted; and NO expected-credit-loss charge was recognised in the quarter. The third goes straight to this study's contested judgement and is the reason it is still carried both ways.

The contested judgement is carried both ways. The credit-loss and provision charge is the study's single most consequential contested judgement. It is computed on two frames and both are published side by side, in the summary table, in the body, in the workbook and in an expert's range. They are never averaged into one number — which is why this edition publishes two weighted centres rather than one. The first edition weighted both frames at a quarter each inside a single centre, and weighting both frames inside one number IS averaging them; that centre has been withdrawn.

Headline

EIPICO is Egypt's largest pharmaceutical manufacturer by units and its largest pharmaceutical exporter, and it has just finished building something big. Revenue grew 24.4% in FY2025 to EGP 9,441 million, attributable profit rose 31.6% to EGP 1,442 million, and the shares have roughly doubled this year. The question this study asks is not whether the business is good. It is whether EGP 127.30 a share already pays for a plant that has not yet sold anything.

The company spent the last three years building EIPICO 3, a biologicals and biosimilars facility it describes as the first in Egypt to manufacture from cell culture through to finished product, at a stated cost of USD 100 million. At 31 December 2025 the construction balance stood at EGP 4,901 million — larger than the entire depreciated property base of EGP 3,070 million. The Egyptian Drug Authority licensed it in December 2025. From FY2026 that balance starts depreciating: the charge goes from an audited EGP 117.7 million to EGP 304 million in FY2026E and EGP 446 million at its peak. The finance cost, meanwhile, does NOT rise: the first quarter of 2026 ran at EGP 312.9 million, an annual rate of about EGP 1,251 million against EGP 1,333 million actually borne in FY2025, so the forecast charges LESS interest, not more. The net mechanical change this study carries is therefore EGP 103 million a year of additional pre-tax charge, not the EGP 700 million a first reading of the licensing event suggests. The larger figure would require adding back the EGP 551 million of interest that was being capitalised, and the company's own first quarter says that is not what is happening. Either way the plant contributes no revenue yet.

Against that, four methods that do not depend on the new plant at all — discounted cash flow, run on two framings of the provision charge and so giving five readings in total; book value against sustainable return; triangulated multiples; and normalised earnings power — cluster between EGP 31 and EGP 55. The market is above all of them.

The first quarter of 2026, reviewed and published in May, settles part of that question and sharpens the rest. Fixed assets rose EGP 1,140 million and the construction balance fell EGP 918 million in three months; depreciation and amortisation went to EGP 56.2 million from EGP 26.6 million a year earlier, more than double. The plant is in service and the charge has arrived, exactly as this study said it would. What has not arrived is the revenue: net sales grew 10.1% and attributable profit FELL 10.9% to EGP 284 million.

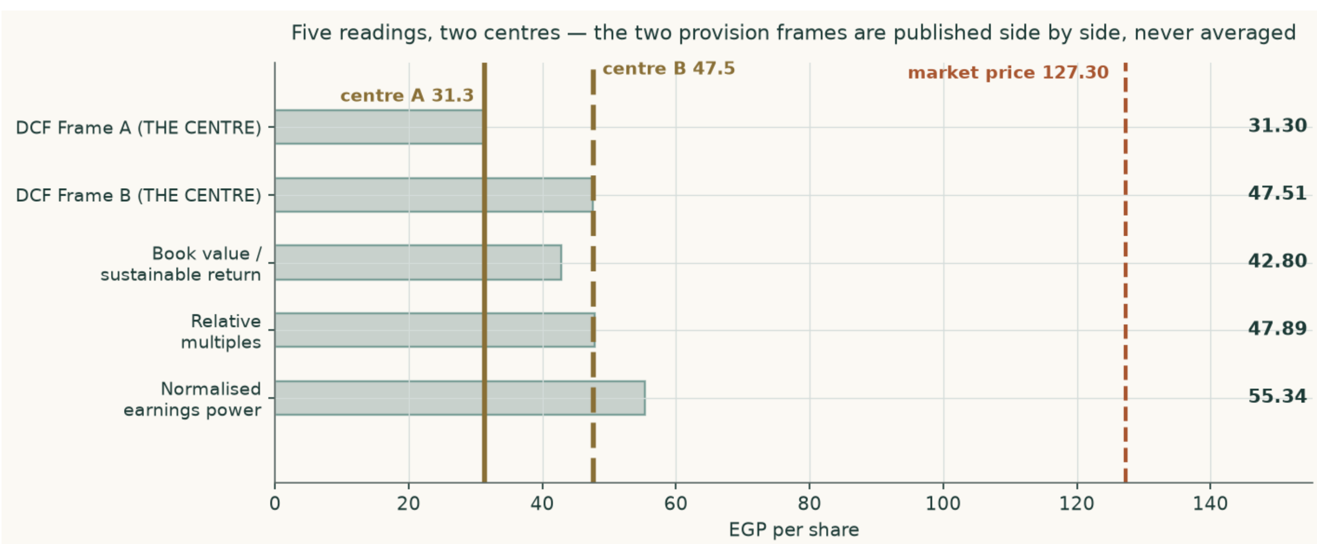

Figure 1 — five readings and TWO centres. The two provision frames are published side by side and are never averaged into one number.

Valuation summary

Reading	EGP / share	vs market	Note
Discounted cash flow — Frame A (THE CENTRE)	31.30	-75%	three-year average margin 22.9%
Discounted cash flow — Frame B (THE CENTRE)	47.51	-63%	three-year average margin 22.9%
Book value and sustainable return	42.80	-66%	justified 1.16x book of EGP 37.00
Relative multiples	47.89	-62%	three multiples, each on the earnings of its own period
Normalised earnings power	55.34	-57%	three-year average margin 22.9%
CENTRE — Frame A	**31.30**	**-75%**	**The cash-flow read on Frame A, unweighted. The other lenses are published beside it and averaged into none of it**
CENTRE — Frame B	**47.51**	**-63%**	**The cash-flow read on Frame B. The two centres are NEVER averaged**
Memo — the weighted blend this edition replaced (Frame A / Frame B)	39.69 / 47.80		Printed so the change is visible. Its weights were never tested out of sample, and on a two-sided answer a blend pulls both frames toward the same three shared readings — damping exactly the disagreement two frames exist to show
Field low to field high	**31.30 – 55.34**		**The spread between the readings IS the uncertainty**
Market price	127.30		Close of 3 September 2026

Table 1 — the summary valuation table. TWO centres, never one: the contested judgement is carried both ways and weighting both frames inside a single number would average them. Terminal value is stated beside each cash-flow reading on BOTH bases — as a share of the core operating value and of the total, which also carries the associates and the assets held for sale.

Key figures	Value	Key figures	Value
Market capitalisation	EGP 21,483m	Net debt	EGP 7,364m
Enterprise value	EGP 28,851m	FY2025 revenue	EGP 9,441m
FY2025 EBITDA	EGP 2,484m	FY2025 attributable profit	EGP 1,442m
Trailing price / earnings	14.90x on shares in issue, 14.31x on the FY2025 weighted average	Trailing enterprise value / EBITDA	11.6x
Cost of equity	25.92%	Discount rate, first year	23.04%
Discount rate, terminal	15.22%	Proposed dividend, FY2025	EGP 3.50 (2.7% yield)

Table 2 — the figures a reader needs before anything else. Enterprise value uses the post-deconsolidation non-controlling interest of EGP 4.0 million that the valuation bridge uses, so the enterprise value and the multiple beside it are struck on one basis. The audited 31 December 2025 minority of EGP 288.7 million would give EGP 29,136 million instead; the two are not mixed. Two trailing multiples are shown because the share count rose during FY2025 and both readings are legitimate.

Company overview

EIPICO was founded in 1980 in Tenth of Ramadan City with capital of EGP 7 million and began producing in 1985. It is today the largest operating subsidiary of the Arab Company for Drug Industries and Medical Appliances, which holds 51.34% of its shares. The rest of the share list is dominated by medical-profession institutions — an investment company, the professions federation and its pension fund together hold a further 12.02% — with 36.64% in other hands.

The business is a vertically integrated generic and branded pharmaceutical manufacturer. It runs 54 production lines across three plants, produced 2,208 million units in FY2025 against 3,383 million of its own disclosed capacity, and sold 357.3 million packs of 414 registered preparations across 27 therapeutic groups. It employs about 4,981 people. It makes its own primary packaging through a wholly-owned ampoule and vial subsidiary and a plastics factory, which is why the packaging cost line is only partly exposed to imports.

Revenue channel	FY2024 (EGP m)	FY2025 (EGP m)	Growth	Share of FY2025
Direct domestic sales	1,530	1,943	27%	21%
Domestic distributors	2,664	3,591	35%	39%
Government tenders and supply	634	751	18%	8%
Export	2,500	2,967	19%	32%
Contract manufacturing	36	49	38%	1%
Total (company only)	**7,364**	**9,302**	**26%**	**100%**

Table 3 — the disclosed revenue split, each total SUMMED from its own column. Exports are 32% of the book and are earned in hard currency; the domestic price is set administratively by the Egyptian Drug Authority. The step from this separate-company total to the audited consolidated revenue is the subsidiary's external sales: 1.01 times in FY2025 and 1.03 times in FY2024. The forecast carries the FY2025 reading. Two observations are not a trend, and the FY2024 reading would add about 1.6% to forecast revenue; the range is disclosed rather than the single figure being presented as measured fact.

Two things about this company are unusual enough to change how it must be valued. First, it is nearly currency-neutral on its balance sheet: the audited note shows a net monetary position of minus USD 0.5 million at the year end, against a company that earns USD 60 million of export revenue. It hedges by matching, not by contract. Second, its two equity-accounted associates contributed EGP 512 million in FY2025 — 36% of attributable profit — against a carrying value of only EGP 676 million. Carrying value is not a usable proxy for what that stake is worth, so this study values it on its earnings instead.

1. Fundamental valuation

1.1 The cash-flow model

The company is valued as an operating business: free cash flow to the firm over five explicit years, discounted on a rate that glides from today's cost of capital to a normalised one, plus a terminal value. Frame A of the contested provision judgement is shown here in full; Frame B differs only in that one line and is carried through to its own value per share.

EGP million	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Revenue	10,694	12,612	14,621	16,637	18,608
EBITDA	2,415	2,679	3,037	3,394	3,713
EBITDA margin	22.6%	21.2%	20.8%	20.4%	20.0%
Less depreciation and amortisation	**(304)**	**(425)**	**(446)**	**(437)**	**(423)**
EBIT	2,111	2,254	2,591	2,957	3,290
Tax rate (the EFFECTIVE rate the business bears)	23.5%	23.5%	23.5%	23.5%	23.5%
NOPAT = EBIT x (1 − tax rate)	1,615	1,724	1,982	2,262	2,517

Add back depreciation and amortisation	**304**	**425**	**446**	**437**	**423**
Less capital expenditure	(1,337)	(568)	(512)	(532)	(558)
Less increase in working capital	(910)	(1,020)	(869)	(877)	(829)
Free cash flow to the firm	-328	562	1,048	1,290	1,553
Discount rate	**23.04%**	**20.94%**	**18.65%**	**16.75%**	**15.22%**
Discount factor	0.8128	0.6720	0.5664	0.4851	0.4211
Present value of free cash flow	-267	378	593	626	654

Table 4 — the full free-cash-flow waterfall through to present value, Frame A.

Enterprise value to equity value	EGP million	EGP / share
Present value of five years of free cash flow	1,984	11.75
Present value of the terminal value	7,675	45.48
Core enterprise value	9,659	57.24
Terminal value as a percentage of CORE enterprise value	**79%**	
Add: earning associates at normalised earnings times the multiple	2,750	16.30
Add: the pre-revenue active-ingredient company at CARRYING COST	228	1.35
Add: assets held for sale	12	0.07
Total enterprise value	12,650	74.96
Terminal value as a percentage of TOTAL enterprise value	**61%**	
Less: net debt	**(7,364)**	**(43.64)**
Less: non-controlling interests	(4)	(0.02)
Equity value — Frame A	5,282	31.30
Equity value — Frame B	**8,017**	**47.51**

Table 5 — the enterprise-to-equity bridge. The terminal share is shown on BOTH bases, as a line of the bridge rather than a footnote: it is 79% of the CORE operating value and 61% of the total, which also carries the associates and the assets held for sale. The pre-revenue active-ingredient company sits on its OWN line at carrying cost — it is not earnings, and it is not folded into a line that says it is. The non-controlling interest deducted is the post-deconsolidation figure; the audited 31 December 2025 minority of EGP 288.7 million belonged to the subsidiary that was deconsolidated in the first quarter, and section 7 records that the net debt above is the December balance while this deduction is the March one.

1.2 Book value and sustainable return

Book value attributable to shareholders was EGP 6,243 million at the year end, EGP 37.00 a share. Return on average equity was 24.6% in FY2024 and 26.5% in FY2025. The forecast path is 13.7% / 14.5% / 17.1% / 19.1% / 20.1% — it RISES through the window rather than settling, so the sustainable return used here is the mean of its last three years, 18.75%, read off that path rather than chosen. A business earning 18.8% on equity while its perpetual cost of equity is 17.16% is worth more than its book: the multiple that relationship justifies is (return less growth) over (cost of equity less growth), or 1.16 times book — EGP 42.80 a share.

1.3 Relative multiples

The company's own traded history is the primary anchor here, because it is computable entirely from primary material: audited attributable profit against the year-end close. It traded on 4.7 times in 2022, 6.6 times in 2023, 6.2 times in 2024, 8.7 times in 2025 — a four-year mean of 6.57. Each year divides that year's audited attributable profit by that year's own weighted-average share count, so FY2025 uses 162.02 million shares rather than the 168.76 million now in issue: the capital increase completed during that year. At EGP 127.30 the shares trade on 14.90 times trailing attributable earnings on the count in issue today, or 14.31 times on the audited weighted average — both readings are legitimate and both are given — and 11.6 times trailing EBITDA. The earnings multiple has more than doubled against its own four-year history. That is the single most important fact about this share price.

Multiple	Times	EGP / share	Where it comes from
Justified forward multiple from this model, on FY2026E earnings	6.17x	33.67	a FORWARD multiple on FORWARD earnings of EGP 5.46. Retention must equal growth 7% over sustainable return 18.8%, so payout is 63%
The company's own four-year mean multiple, on trailing earnings	6.57x	56.15	a TRAILING multiple on TRAILING earnings of EGP 8.54 — year-end closes against audited attributable profit
Struck peer reference, cost-of-equity adjusted, on trailing earnings	6.30x	53.85	a TRAILING multiple on TRAILING earnings. The midpoint of the only two disclosed observations, 26.7x and 16.0x — not a median of a peer set. Those companies face a cost of equity near 10%, not 17.2%
Average of the three — the relative lens	**6.35x**	**47.89**	**Averaged on the sheet, not asserted**

Table 6 — three multiples triangulated, EACH APPLIED TO THE EARNINGS OF ITS OWN PERIOD. Left unadjusted for the cost-of-equity gap, the struck peer reference alone would give EGP 182.39 a share; the size of that gap IS the country-risk discount, shown rather than hidden. The peers behind the third leg are not named and their financial statements are not published, so that leg cannot be rebuilt from their filings — a stated limitation of the leg, and the reason the lens carries two other legs.

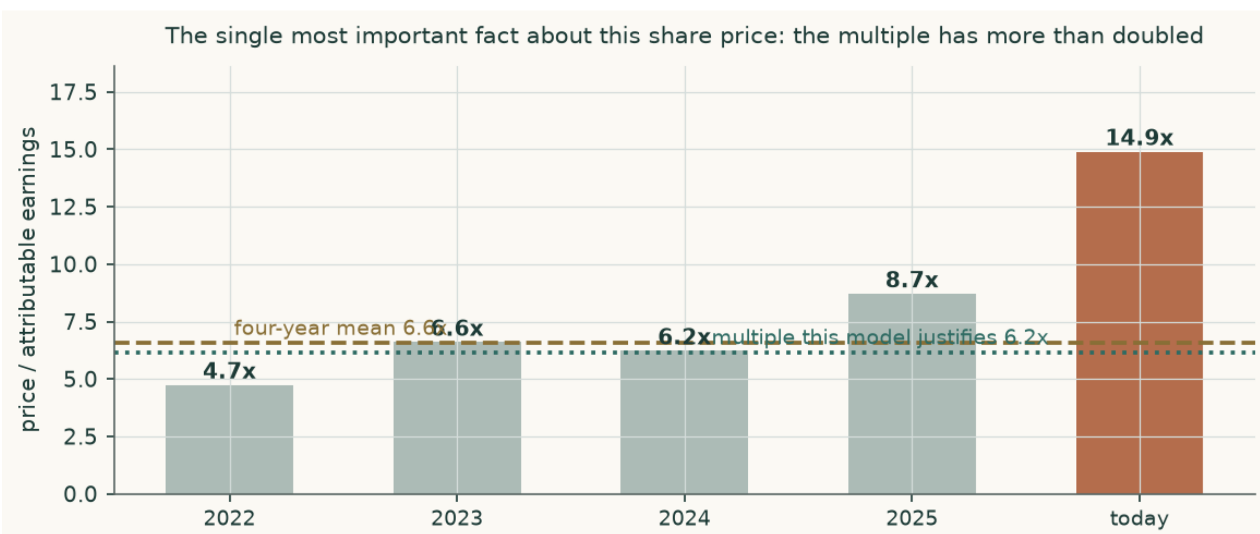

Figure 2 — the traded multiple against its own history and against what the model justifies.

1.4 Normalised earnings power

FY2025 was the best operating year in the company's history: a 25.1% operating margin against 23.5% in FY2023 and 20.1% in FY2024. This lens deliberately gives part of that back. Applying the three-year average margin of 22.9% to FY2027 revenue, financing it at that year's cost of debt, taxing it at 23.5% and adding the normalised associate contribution gives EGP 8.97 a share of sustainable earnings. Capitalised at the PERPETUAL cost of equity of 17.16% less 7% growth, on the 63% payout that growth rate permits, that is EGP 55.34 a share. Using today's crisis-level cost of equity of 25.92% in a perpetuity would be a category error: a steady-state multiple takes a steady-state rate.

1.5 Synthesis — four methods, five readings, two centres

Four methods produce five readings, because the cash-flow method is run on both framings of the contested provision judgement. They run from EGP 31 to EGP 55. That spread is not a failure of the methods; it is the honest measure of how much the answer depends on which question you ask.

There is no single weighted centre, and the absence is deliberate. The two provision frames are never averaged, and weighting both of them inside one number averages them. So the cash-flow weight of 50% is carried in full on ONE frame at a time, beside the three lenses that do not turn on the judgement at all — book value against sustainable return at 20%, relative multiples at 15%, and normalised earnings power at 15%. That gives EGP 31.30 a share on Frame A and EGP 47.51 on Frame B, against a market price of EGP 127.30. Which of the two a reader uses is a judgement about the debtor book, and it belongs to the reader.

1.6 Drivers — every segment grown on its own driver

Revenue is not grown as a percentage. It is built from THREE product lines, each with its own volume and its own price, all taken from disclosure. The company's board report splits the same total two different ways — by sales channel and by product line — and the two only reconcile once contract manufacturing is separated out.

LINE 1 AND LINE 2, the company's OWN preparations. It sold 351.8 million packs of them in FY2025 for EGP 9,160 million. The investor presentation puts export volume at 60 million packs earning EGP 2,967 million, which is USD 1.00 a pack at the disclosed average rate. The remainder — 291.8 million packs carrying EGP 6,193 million — is the domestic book at EGP 21.22 a pack, against EGP 18.85 in FY2024: a realised price up 12.6% on volume up 19.5%.

LINE 3, preparations made under contract for third parties. This is a different business and it is now modelled as one: 5.49 million packs in FY2025 against 8.87 million in FY2024, carrying EGP 142.3 million of product value. The company books EGP 49.4 million of that as a manufacturing fee — EGP 9.00 a pack against EGP 4.04 the year before — and the remaining EGP 93.0 million reaches the market through its own domestic channels.

That separation matters more than its size. The channel disclosure puts domestic revenue at EGP 6,286 million, but that figure CARRIES the contract-made product while the pack count against it does NOT carry the contract packs. Dividing one by the other reads EGP 21.54 a pack rather than the EGP 21.22 the company actually realised on its own preparations — 1.50% too high, in every forecast year. The two disclosures now close on each other to the thousand pound in both years, and the model asserts it. Margins are an OUTPUT of this build, never an input.

Driver	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Domestic packs, own preparations (million)	307.9	332.5	357.4	380.7	401.6
Domestic price per pack (EGP)	22.28	24.07	25.87	27.55	29.07
Export packs (million)	63.0	68.7	74.5	80.5	86.1
Export price per pack (USD)	1.01	1.02	1.03	1.04	1.05
Exchange rate (EGP per USD)	55.1	60.2	64.0	67.2	70.1
Contract-manufactured packs (million)	6.31	7.06	7.77	8.39	8.98
Contract manufacturing fee per pack (EGP)	9.45	10.21	10.97	11.68	12.33
Contract product resold, price per	17.79	19.22	20.66	22.00	23.21

pack (EGP)					
Revenue (EGP million)	10,694	12,612	14,621	16,637	18,608
Gross margin (an output)	**39.2%**	**37.3%**	**36.9%**	**36.8%**	**36.5%**

Table 7 — the forecast driver table. THREE product lines, each with its own volume and its own price, moving separately and in the currency each is actually earned in. Nothing on this table is a revenue growth rate.

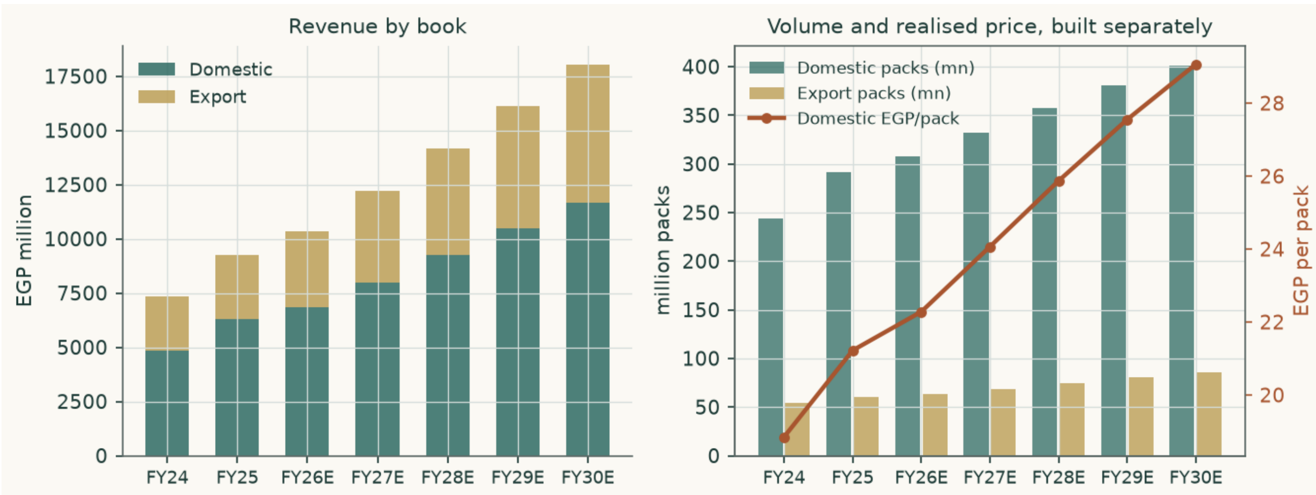

Figure 3 — revenue by book, and the volumes and prices underneath it.

The cost side gets the same discipline, and this matters more than it sounds. The audited cost-of-sales note splits production cost into physically distinct lines, and each one is escalated on its OWN driver rather than on a single blended inflation index:

Cost line	Share of production cost	Escalated on
Imported active ingredients	54.9%	a hard-currency price path passed through the exchange-rate path
Packaging materials	24.6%	55% on the hard-currency path, the balance domestic — the group makes its own primary packaging
Labour	9.8%	Egyptian wage growth, which is running above consumer prices
Energy and utilities	3.4%	the regulated tariff schedule, ABOVE consumer prices while subsidy reform runs
Other consumables and services	5.7%	domestic consumer prices
Depreciation	1.7%	nothing — it is excluded here and comes from the property roll-forward instead

Table 8 — one escalator per driver class. A single blended index across these lines would make the forecast margin an artefact of the index rather than of the business.

1.7 The crux

The crux is the new plant, and it is worth being precise about what this study does and does not assume. It CHARGES the plant: EGP 4,901 million of construction balance transfers into depreciable assets on the company's own disclosed licensing timetable, taking the depreciation charge from EGP 118 million in FY2025 to EGP 304 million in FY2026 and EGP 446 million by FY2028. What it does NOT do is add the EGP 551 million of interest capitalised into the construction balance in FY2025 back onto the income statement. That would be the textbook consequence of the asset entering service, and the first cut of this model assumed it

— but the company's own first quarter of 2026 says otherwise: financing expense of EGP 312.9 million ran DOWN 6.1% year on year, an annual rate near EGP 1,251 million against EGP 1,333 million actually borne in FY2025. The forecast is calibrated to that observed quarter rather than to the textbook, and the difference is disclosed here rather than left as an unexplained gap. It does NOT credit the plant with any revenue, because the company has published none.

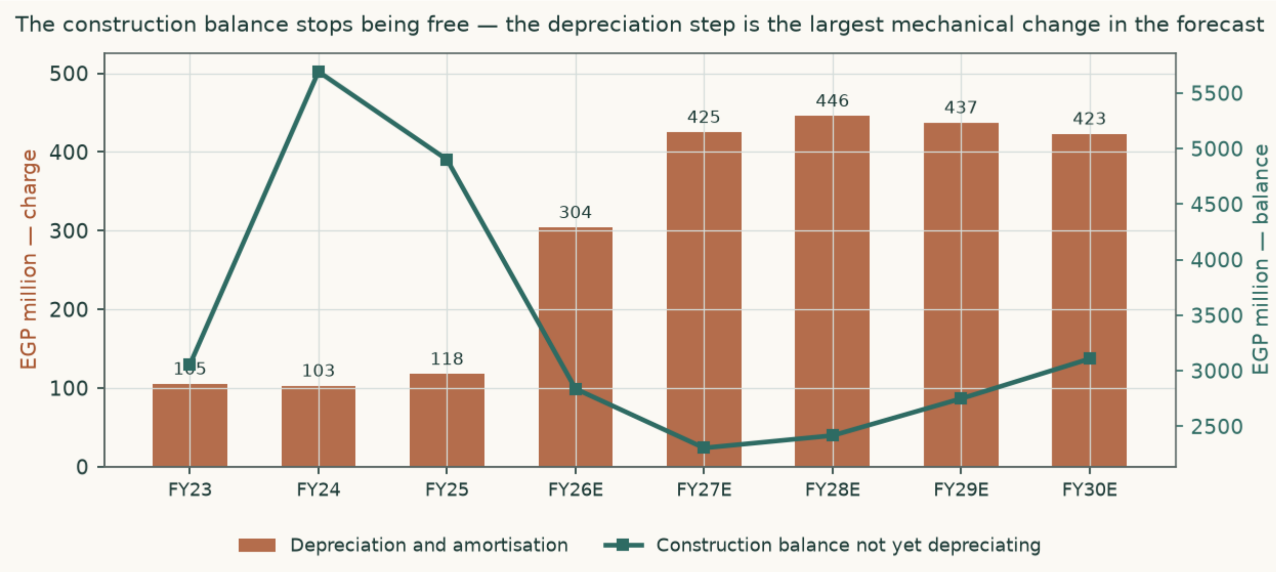

Figure 4 — the depreciation step, and the construction balance that causes it.

So the honest question is not what the plant is worth. It is how much it must sell. Solving the same model for the market price: an additional EGP 9,342 million of revenue by FY2030 at a 45% contribution margin closes the gap from EGP 31.30 to EGP 127.30. That is 33% of FY2030 revenue, or about USD 133 million a year — 1.33 times the USD 100 million the company says it invested in the plant.

Two things have to be published for that hurdle to be checkable, and they are. THE RAMP: the incremental revenue is not dropped into the final year. It is phased 0% / 10% / 30% / 60% / 100% of the FY2030 level across FY2026E to FY2030E. The same total placed entirely in the final year would be a materially LOWER and easier hurdle, so a reverse valuation that does not state its ramp cannot be audited. THE REINVESTMENT: the incremental revenue is charged capital expenditure at the same share of revenue as the existing business, and working capital on the same day ratios, so it meets the identical reinvestment discipline. Left uncharged — which is how the first cut of this model ran it — the hurdle prices out about USD 115 million a year instead of USD 133 million, which understates what the market is actually asking of the plant.

The same arithmetic read the other way is worth stating, because it is the plainest summary of what is at issue. At EGP 127.30 the market is paying EGP 96.00 a share — EGP 16,201 million, 75% of the entire share price — for a plant this study values at nothing, against a stated build cost of USD 100 million, about EGP 7,011 million. The market is not merely paying for the plant to work; it is paying roughly 2.3 times what the plant cost to build. That is the proposition, stated as a multiple of an observable outlay rather than as a valuation.

Why this number is useful. It is observable. Roughly USD 133 million a year of biosimilar revenue by 2030 is a figure the company will eventually disclose, and a reader can check this study against it. An asset turn of 1.33 times on a specialist biologics facility is demanding but not absurd; whether it is achievable in Egypt, at Egyptian reimbursement prices, on a product set still moving through registration, is the question the market is answering yes to and this study is declining to answer either way.

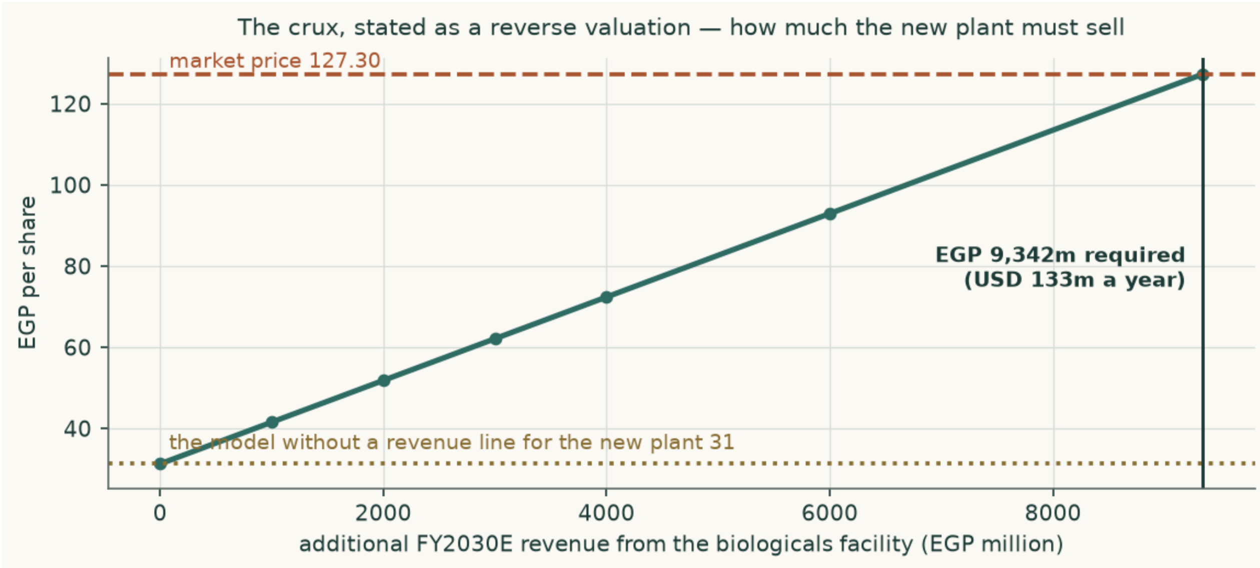

Figure 5 — the crux stated as a reverse valuation.

The first quarter of 2026 is the first real test of all this, and it is worth setting the forecast against it line by line rather than claiming a hit.

Line	Q1-2026 actual	Read into a full year	This study's FY2026	How the forecast stands against it
Net sales (EGP m)	2,533	10,398	10,694	2.9% against the quarter's run-rate
Gross margin	42.4%	—	39.2%	within 320 basis points
Depreciation and amortisation (EGP m)	56.2	225	304	the step is real; the study is ahead on timing only
Transfers out of construction (EGP m)	918	3,670	3,400	confirmed, and the study is if anything conservative
Finance cost (EGP m)	313	1,251	1,250	reset to the quarter
Provision charge as a share of sales	2.57%	—	5.25% / 4.50%	no credit-loss charge was taken at all — see below
Associates (EGP m)	13.1	52	250	the quarter is incomplete by the auditor's own statement
Capital expenditure (EGP m)	325	1,299	1,337	reset upward to the quarter
Attributable profit (EGP m)	284	1,285	891	the study is -31% below the quarter's seasonal read
Attributable earnings per share (EGP)	1.68	7.61	5.28	the two lines the appendix must reproduce, checked here

Table 9 — the forecast against the first quarter it can be checked on, INCLUDING the bottom line. The middle column reads the quarter into a year on the FY2025 seasonal shape ONLY for net sales (24.4% of sales) and for attributable profit and earnings per share (22.1% of profit). Every other line in that column is a plain four-times annualisation, because no seasonal shape is disclosed for it — stated rather than implied.

Two of those rows carry more weight than the rest. The depreciation line is the study's central claim and it is confirmed: the charge is running at roughly double last year on a plant that has only just entered service, and the model's own depreciation rate reproduces the quarter to within 3%. The provision line is the study's contested judgement, and here the quarter does NOT settle it: the company took EGP 65 million of provisions and inventory write-downs but no credit-loss charge whatsoever, against receivables that grew EGP 798 million in the same three months. The auditor qualified the review on precisely that point. Put a number on it: Frame A's 5.25% of revenue applied to the quarter's own sales would have charged EGP 133.0 million — 47% of the attributable profit the quarter actually reported — and even the three-year expected-credit-loss mean of 3.03% would have charged EGP 76.6 million, or 27% of it. A charge that is omitted in the first quarter is deferred, not avoided, which is why both frames still run.

1.8 Macro and country — the cost of capital

The quoted ten-year Egyptian local-currency government yield is 23.00%. That yield is not riskless: it contains the sovereign's own default risk. Subtracting Egypt's sovereign credit-default-swap spread of 3.42% leaves a normalised risk-free rate of 19.58%. Adding beta times the TOTAL equity risk premium gives the cost of equity. Charging the raw 23.00% yield AND a country-loaded premium would give 29.34% and would count sovereign risk twice; that construction is not used here.

Cost of capital	Swap basis	Rating basis	Source and construction
Ten-year local-currency yield	23.00%	23.00%	Observable print of 6 August 2026 — the SAME date as the share price used throughout. A market-data series, not an auction print: the central bank auction page could not be read, so the level is indicated rather than proven, and it is sensitised
Less sovereign default spread	3.42%	5.97%	Country risk-premium dataset, Egypt row, MID-YEAR (July 2026) vintage, spreads measured 30 June 2026
Normalised risk-free rate	19.58%	17.03%	The subtraction above
TOTAL equity risk premium	9.52%	13.48%	Same dataset, same row, its two TOTAL equity risk premium columns. This is the figure that multiplies beta
memorandum: country risk premium	5.32%	9.28%	The dataset's separate COUNTRY risk premium column, shown so a reader checking that column finds the same numbers this study calls by that name. It is NOT added to the cost of equity — the total premium above already contains it
Beta	0.666	0.666	Own-stock weekly regression against the published EGX30 index of the exchange this share is listed on, 4.94 years; R-squared 0.143, n = 256, standard error 0.135
COST OF EQUITY	**25.92%**	**26.01%**	**The two bases agree to 9 basis points**
Cost of debt, local currency	25.50%	25.50%	Sovereign yield plus 250 basis points — above the sovereign by construction
Cost of debt, hard currency	7.50%	7.50%	Dollar and euro term loans from two Gulf banks
carried at local-equivalent cost	12.34%	12.34%	coupon compounded with 4.5% expected currency depreciation
Blended cost of debt, after tax	14.64%	14.64%	book split 50% local / 50% hard currency, borrowings note (17)
Weights (net debt basis)	74% / 26%	74% / 26%	Market-value equity, never book equity
DISCOUNT RATE, FIRST YEAR	**23.04%**		**On gross debt: 22.64% — both published**
DISCOUNT RATE, TERMINAL	**15.22%**		**cost of equity 17.16%, cost of debt after tax 9.56%, DERIVED debt weight 25.5% on today's market values. The forecast balance sheet, once funded, carries 47.9% on book at FY2030E, which would give 13.52% — both are published and neither is 20%**

Table 10 — the cost of capital, built rather than asserted, and published on both bases the source provides.

A cost-of-debt cross-check that a reader can run. Two FY2025 figures are in play and they are not the same line: INTEREST ON CREDIT FACILITIES of EGP 1,275.31 million, which is what an interest RATE has to be computed on, and the income statement's FINANCE COSTS of EGP 1,332.95 million, which is that interest plus EGP 57.63 million of bank commissions and charges. Both are in the same note. The company expensed EGP 1,275 million of interest in

FY2025 and capitalised a further EGP 551 million into the construction balance. On average gross debt of EGP 8,999 million that is 14.2% expensed and 20.3% all-in. The 18.9% marginal rate used here sits inside that pair, which is the test that matters: a marginal rate below what the company actually pays, or above what it actually incurs, would not be credible.

One arithmetic point that looks wrong and is not. The first-year discount rate of 23.04% sits close to the 23.00% quoted government yield. That is a consequence of the normalisation, not an error: the quoted yield contains default risk that this build strips out and re-charges inside the equity premium, where it belongs. Comparing a cost of capital built on a normalised risk-free rate to a raw quoted yield is comparing two different things.

1.9 Sensitivity

Before the grids, the one input that carries the study's contested judgement, read every way the disclosed statements allow. Frame A carries 5.25% of revenue. That is NOT the three-year average, and this edition no longer calls it one: it is struck marginally above the mean of the two years either side of the FY2024 spike. Every reading, and what each is worth:

Reading of the provision charge	Share of revenue	Frame A value (EGP/share)
Carried — struck above the two non-outlier years	**5.25%**	**31.30**
Mean of the three disclosed years, including the FY2024 spike	6.52%	23.07
Expected-credit-loss component alone, three-year mean	3.03%	45.75
The two non-outlier years, FY2023 and FY2025	5.15%	31.95

Table 11 — the contested judgement, priced on every reading of it the audited statements support. The three-year mean of 6.52% includes the FY2024 spike of 9.25%; the expected-credit-loss component alone averages 3.03% across the same three years. For context that none of these readings carries: the first quarter of 2026 booked NO expected credit loss at all.

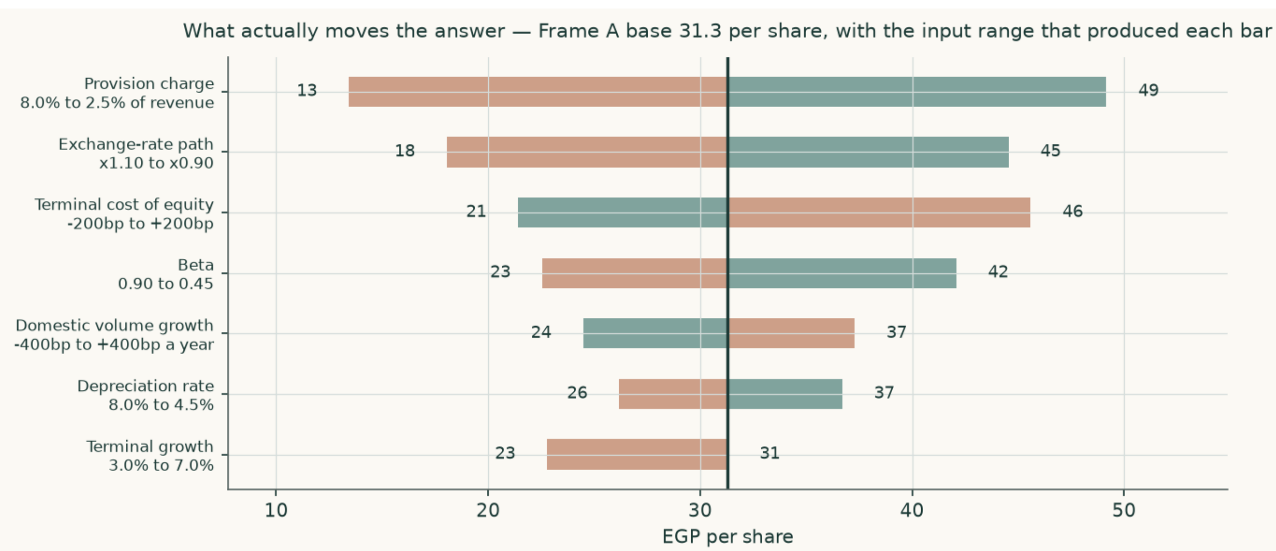

Figure 6 — what actually moves the answer. Each bar is the full range of the value per share across a plausible range of that one input.

Terminal growth →	3%	4%	5%	6%	7%
Cost of equity -200 basis points	31	34	37	41	46
Cost of equity -100 basis points	27	29	31	34	38
Cost of equity +0 basis points	23	24	26	29	31
Cost of equity +100 basis points	19	21	22	24	26

Cost of equity +200 basis points	16	17	18	20	21

Table 12 — the value per share across the cost of equity and terminal growth together. Every cell is a complete revaluation. The grid runs from EGP 16 to EGP 46 a share, and that FULL range is what is published — quoting only its upper part would delete the half of the study's own risk display that matters most.

The crux is sensitised in real observable units rather than in percentage points. On the published ramp and with the incremental revenue charged the same reinvestment identity as the existing business, a quarter of the required revenue — EGP 2,335 million of FY2030 sales, or USD 33 million a year — is worth about EGP 24.00 a share.

2. Technical and price structure

The price closed 130.05 above a rising 20-day (101.58), a rising 50-day (92.49) and a rising 200-day (82.58). Momentum is stretched: RSI(14) is ~71 and the daily ATR near 7.84 (~6.0%) points to a volatile tape. MACD (12·26·9) is positive and rising (+11.68 / +7.24 / +4.44). Over the last year it has ranged 43.60–156.00; the last close sits 17% below that high and 198% above that low.

Level	EGP	Distance from the close
Third resistance	156.00	22.5%
Second resistance	150.00	17.8%
Nearest resistance	140.00	10.0%
Last close	**127.30**	**—**
Nearest support	92.40	-27.4%
Second support	88.49	-30.5%
Third support	85.40	-32.9%

Table 13 — support and resistance, computed from recency-weighted pivot clusters on the same cleaned price history the probability map uses.

The structural point matters more than the levels. The nearest support sits -27% below the last close. The move that took this share from about EGP 90 in late July to EGP 150 on 3 August happened in four sessions, two of them at the exchange's daily limit, and it left no traded structure behind it. A price that gaps up through empty space has nothing under it if sentiment turns — which is why the three-month probability band below is as wide as it is.

A daily close back above 140.00 would clear the nearest resistance and open the 156.00 zone. A close below 92.40 would break the nearest support and open the 85.40 zone.

3. Probabilistic price map

The valuation above says where the shares should be. This section says something different and narrower: given how this share has actually behaved, where might the price be in one and three months? It is a statement about the distribution of outcomes, not a forecast of one.

Percentile of the simulated distribution	One month	Three months
5th percentile	103.80	94.40
25th percentile	120.56	118.42
50th percentile	131.69	135.30
75th percentile	143.94	154.39
95th percentile	167.17	193.82

Check date	2026-09-06	2026-11-08

Table 14 — the percentile map. The anchor is the EGP 130.05 close of 2026-08-06.

Probability	One month	Three months
Finishes above the anchor	54%	58%
Finishes 10% or more above	26%	39%
Finishes 10% or more below	19%	23%
TOUCHES 10% above at any point	43%	64%
TOUCHES 10% below at any point	33%	48%

Table 15 — the level-touch ladder. Touching a level at any point during the window is far more likely than finishing beyond it.

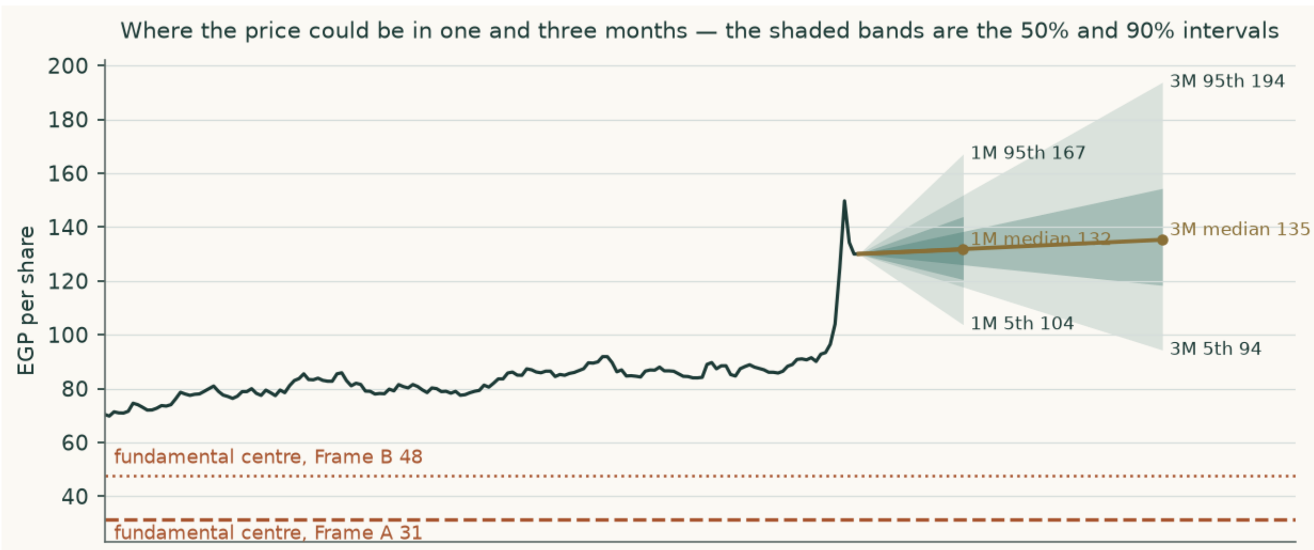

Figure 7 — the price history and the one- and three-month bands.

How much should a reader trust this? The method was tested by re-running it every quarter across the whole cleaned price history, without ever letting it see the future, and checking each forecast against what actually happened. Three window sets are reported: the last five years, 19 non-overlapping three-month windows; the full 13.8-year history, 56 windows; and the period AFTER the currency break that dominates the older history — 16 windows from 2022-06-20 to 2026-03-24. The third is published because it is the set that matches the period the bands shown above are built on. All three are reported together; reporting only two of three would be a choice about which evidence a reader sees.

What the tests DO show is that the bands are honestly sized, which is the property that matters for reading them. Across the five-year window set the outcome fell inside the 90% band 100% of the time and inside the 50% band 47% of the time, and the distribution of where outcomes landed within the bands was statistically indistinguishable from uniform (chi-square p = 0.447, Kolmogorov-Smirnov p = 0.676). The bands are also about 1.47 times as wide as the benchmark's, which means they are conservative rather than flattering. Read them as an honest width, not as a claim to foresight.

Two volatilities, both published. The simulation is fed 62.90% annualised at the one-month horizon and 53.55% at three months — the two windows genuinely differ, and stating only the lower of them would understate the near-term width the map itself shows. A reader who back-solves an annualised volatility from the published fifth and ninety-fifth percentiles under a plain lognormal will get a NARROWER number than either, because the simulated process is not a plain lognormal: it carries a fat-tailed innovation and mean reversion in variance, both of which pull the central quantiles in relative to the volatility that feeds them. The generator, its parameters and the window outcomes behind the coverage statistics are listed in the accompanying bibliography so the check can be run properly rather than approximated.

4. Comparison of the lenses

Lens	EGP / share	What it is most sensitive to	When it misleads
Discounted cash flow, Frame A	31.30	the terminal discount rate and the terminal growth rate — 79% of the value is in the terminal block	when five explicit years are not long enough to reach a steady state, which for a plant entering service is exactly the risk
Discounted cash flow, Frame B	47.51	the same, plus the speed at which the provision charge normalises	if the credit losses are structural rather than cyclical
Book value and sustainable return	42.80	the sustainable return on equity and the perpetual cost of equity	when a large part of the asset base is not yet earning — which is true here, with EGP 4,901 million still in construction at the year end
Relative multiples	47.89	the cost of equity, through all three of its inputs	when the comparable companies face a different country risk, which is why the struck reference is adjusted rather than applied raw
Normalised earnings power	55.34	the choice of normal margin	when the business has genuinely re-based upward, in which case a three-year average understates it

Table 16 — the four methods against each other — five readings, because the cash-flow method is run on both framings of the contested judgement — including where each one fails.

The readings disagree in an informative direction. The lowest is the cash-flow reading on the permanent-provision frame at EGP 31.30; the highest is the normalised-earnings lens at EGP 55.34. The cash-flow readings charge the new plant's full cost and credit it with nothing, so they sit low despite capturing five years of the volume and price growth the existing business is already delivering. The relative lens prices the company on what a 18.8% return and a 17.2% perpetual cost of equity can justify, which supports about 6.17 times forward earnings against the 14.90 times trailing the market pays. None of them is wrong. The gap between them is the value of growth, and the market is paying for more of it than any of them contains.

5. Catalysts

What to watch	Why it matters	When
First disclosed revenue from the biologicals plant	the whole crux. Section 1.7 says roughly USD 133 million a year by 2030 is required to justify the market price; the first disclosure calibrates how plausible that is	FY2026 results, and every quarter after
The FY2026 depreciation charge	this study assumes it steps from EGP 118 million to about EGP 304 million as the construction balance transfers. A materially smaller step means the plant is being commissioned more slowly than assumed	FY2026 results
Whether capitalised interest stops	EGP 551 million of interest was capitalised in FY2025. The textbook consequence of the plant entering service is that this becomes an expense. It has NOT happened yet — the first quarter of 2026 ran financing expense DOWN 6.1% year on year — and this study charges the observed quarter, not the textbook. If the step does arrive it is worth about EGP 551 million a year of pre-tax profit	FY2026 interim and full year
The credit-loss and provision charge	the study's contested judgement. The disclosed charge runs 5.07%, 9.25% and 5.23% of revenue across the three audited years — a three-year mean of 6.52% — and the first quarter of 2026 took none at all. Which frame the next two	each set of results

	years resemble is worth more than a point of margin	
The Saudi associate	note (33) attributes EGP 428 million of associate income to this one holding in FY2025 and EGP 190 million in FY2024. The FY2024 figure EXCEEDS the group associate line of EGP 151.6 million for that year, so the other holdings were a net drag of EGP 38.4 million — the individual disclosure and the group line are both reported here rather than one being quoted without the other. This study normalises the WHOLE associate stream to EGP 250 million against a three-year mean of EGP 246.1 million	each set of results
The active-ingredient project	a separate USD 165 million company that this study does NOT consolidate and does NOT value. It reaches the accounts only through the associate line	trial batches indicated for 2027
The exchange rate	exports are 32% of revenue but hard-currency inputs are 68.4% of the disclosed cost stack — the imported active ingredient plus the imported SHARE of packaging, not the whole packaging line, because the group makes its own primary packaging. So a weaker pound is a NET NEGATIVE for this company, the opposite of the usual exporter reflex	continuous

Table 17 — the events that would move this valuation, and the direction each cuts.

6. Reading the probability zones

The bands in section 3 are frequently misread, so here is how to use them.

- **The percentile map** is the probability that the price ENDS the window beyond a level. It is what a position held to the check date experiences.
- **The touch ladder** is the probability that the price TOUCHES a level at any point inside the window, even if it comes back. It is always the larger of the two, and it is what a stop-loss experiences. On the three-month window the difference is substantial: 23% of paths finish 10% or more below the anchor, but 48% touch that level at some point.
- **A band is not a limit:** the 90% band is not a maximum. One outcome in ten is designed to fall outside it, and over a long enough run one will.
- **Width is information:** the bands here are wide — the three-month 90% band runs from EGP 94.40 to EGP 193.82 — because this share has been genuinely volatile: the annualised volatility implied by its recent trading is about 54%. A narrow band on a share that moved 44% in two sessions would be a lie.
- **These are not a valuation:** the bands describe where the PRICE may go. The valuation describes what the BUSINESS appears to be worth. They are different questions and this study keeps them apart on purpose. BOTH fundamental centres — EGP 31.30 and EGP 47.51 — sit below the entire three-month band, and that is worth noticing rather than reconciling away.

7. Caveats, and what would change our mind

7.1 What changed in this edition, and by how much

Change	Effect
FY2026 revenue growth reset from 17.5% to the quarter's 10.1%	the largest single change; it lowers the base every later year compounds from
FY2026 capital expenditure raised to the quarter's run-rate	more cash out of free cash flow in the first forecast year
Finance cost charged to profit reset to the quarter, and separated from the marginal cost of debt used in the discount rate	raises forecast earnings; the two were being conflated and are now distinct rows
Normalised associate contribution cut from EGP 320m to EGP 250m, the like-for-like	lowers the bridge; the quarter reported only EGP 13.1m, but the auditor states the associates' statements were not received, so it is not decisive

three-year average	
The active-ingredient company added to the bridge at carrying cost, and the non-controlling interest deducted there replaced with the post-deconsolidation figure	both POSITIVE, and they are two halves of one event: that company left the consolidation in the quarter, taking EGP 284.7m of minorities out and adding EGP 228.5m of associate carrying value
Dividend-distribution tax given its own line in all three history years, following the separately issued statements	lifts FY2023 operating profit by EGP 4.1m (0.34%); worth about EGP 0.12 a share
THE SINGLE WEIGHTED CENTRE IS WITHDRAWN	**the first edition weighted Frame A and Frame B at a quarter each inside one number. Weighting both frames inside one number IS averaging them, which this study says five times that it never does. Each frame now carries the cash-flow weight in full, on its own, and TWO centres are published**
The terminal return on invested capital is now COMPUTED, not assumed	it was asserted at 20% against a forecast that reaches 12.73% in FY2030E. It now READS the model's own final year, so terminal reinvestment rises from 25.0% to 55.0% of terminal operating profit after tax
The terminal year is charged the depreciation the forecast never charged	EGP 3,108 million of construction is still parked at FY2030E and had never entered the depreciable base. A perpetuity cannot capitalise profit on capital it never charges, so EGP 193 million a year is now deducted before the terminal value is struck
The terminal debt weight is now DERIVED and published on both bases	it was 20%, described as reconciled to the forecast balance sheet. It reconciled to neither reading of that sheet: 25.5% on today's market values, 47.9% on the funded forecast book. The market reading is used and both are shown
Free cash flow is taxed at the EFFECTIVE rate, not the statutory rate	the model conceded a 23.5% effective burden in one place and applied 22.5% in the cash-flow engine. One rate now runs both
The forecast balance sheet is FUNDED and now balances	cash and gross borrowings were frozen at their audited levels for five years while equity compounded, so the statement was out by up to 6.6% of total assets and no balance check was ever computed. Gross borrowings are now the funding plug, a total liabilities-and-equity row and a balance check have been added, and both are zero in every forecast column
The trailing multiples are applied to TRAILING earnings	two of the three legs of the relative lens were labelled trailing and applied to FY2026E earnings, which are BELOW trailing because of the depreciation step. Each leg now takes the earnings of its own period
The peer anchor is relabelled a struck reference and moved to the midpoint	it was called a peer median at 19.5 times. Only two observations are disclosed, 26.7x and 16.0x, whose midpoint is 21.35x. It is now that midpoint and it is not called a median
The risk-free rate and the share price are struck on ONE date	the yield carried a 21 July 2026 print against a 6 August 2026 share price. Both are now 6 August, and the country-risk dataset moves to its mid-year vintage
The sustainable return and the book lens are live in the workbook	the book-value lens was a constant multiple typed inside a formula, so that lens did not move for any driver. Both the multiple and the return behind it now read the forecast
The appendix income statement prints what the model computes	its attributable-profit row printed retained earnings and its finance-cost row was a first-edition artefact. Both now come from the model rows the valuation uses
The terminal is fed the LAST forecast year’s cash flow, not a year already grown	the terminal formula grows the free cash flow one year itself and values the result at the end of the last forecast year, which is where the discount factor lands it. The profit, the depreciation and the working capital handed to it had already been grown once, so the terminal capitalised a flow a year further out than the factor it was discounted at. Correcting it lowers the terminal by -7.2% on Frame A and -7.0% on Frame B, and the value per share by -10.1% and -8.5% — the larger share effect is gearing, not a second change
NET EFFECT ON THE CENTRE	**a single EGP 79.64 becomes a PAIR: EGP 31.30 on Frame A (-61%) and EGP 47.51 on Frame B (-40%)**

Table 18 — every change from the first edition, and its direction.

Caveat	What it costs the study	What would settle it
The first-quarter review conclusion is QUALIFIED on three matters	no expected-credit-loss charge was recognised in the quarter; the associates' own statements were not received; and the active-ingredient company was recognised at cost after loss of control rather than remeasured and equity-accounted. The first flatters the quarter's profit, the second makes the associate line incomplete, the third is a measurement question this study side-steps by carrying that company at cost	an unqualified half-year review
No revenue is modelled for the biologicals plant	the cash-flow lenses are understated by whatever the plant earns. This is the largest single limitation and it is deliberate	the company disclosing biosimilar revenue, volumes or utilisation
The valuation bridge is anchored on the audited 31 December 2025 balance sheet, not on the March one	net debt was EGP 9,065m at 31 March against EGP 7,364m at 31 December, but the quarter also paid the FY2025 dividend and built working capital, and the forecast still carries a full FY2026 of cash flow. Using the March balance sheet AND a full forecast year would charge the same quarter twice. On the March net debt alone the value would be about EGP 10 a share lower	a half-year balance sheet, at which point the anchor can move forward cleanly
The ten-year government yield is a market-data series, not an auction print	the discount rate now carries the 23.00% level observable on the same date as the share price, but the central bank's own auction page refused the request, so the level is indicated rather than proven. The rate is sensitised over a wide range in section 1.9	a live read of the auction curve; a 200 basis-point error is worth about EGP 7 a share
The enterprise-to-equity bridge mixes two consolidation perimeters	net debt is the audited 31 December 2025 figure, when the active-ingredient company was still consolidated; the non-controlling interest deducted, EGP 4.0 million, is the post-deconsolidation figure, and the retained stake is added separately at cost. A single perimeter would either deduct the December minority of EGP 288.7 million without the separate addition, or move the whole bridge to the March balance sheet. The difference is about EGP 3.04 a share on the cash-flow readings	a half-year balance sheet on one perimeter
The forward interest path falls while the debt does not	the charge is calibrated to the first quarter of 2026 and is right for FY2026E, but it declines to EGP 1,030 million by FY2030E on a funded borrowing book that ends the window near where it started. The implied average rate falls to 9.30% against a blended MARGINAL cost of debt of 18.89% used in the discount rate. This affects the earnings-based lenses, not the cash-flow ones, which are computed before interest	a disclosed debt-amortisation schedule
The associate contribution is normalised, not built up	the associates published no accounts through this company's filings, so a EGP 250 million normalisation stands in for a real forecast. It is worth EGP 16.30 a share	the Saudi associate publishing separate accounts
Peer multiples are market data, not primary company data	the relative lens's third leg rests on observed peer trading rather than on peer filings. It is one of three legs and is labelled as a cross-check throughout	building each peer from its own audited statements
One disclosed operating figure was restated between annual reports	the FY2024 tablet production line reads 1,513 million units in the FY2024 report and 1,352 million in the FY2025 report. The later filing is used. It affects a utilisation statistic, not a valuation input	a company explanation of the restatement
The market index explains little of this share’s week-to-week movement	the beta is regressed against the published index of the exchange the shares are listed on, and that index explains 14.3% of the weekly variation over 256 observations. The coefficient is 0.666 with a 90% range of 0.443 to 0.889, and that range is wide enough to matter to the valuation. A previous edition regressed against an equal-weighted basket of 36 local names, which fit better — 23.5% — and gave 0.629. That basket is not a market: it changes whenever a share is added to it and it shares members with the very set it is used to price, so it tracks any one of them more closely than a real index does. A better fit against the wrong yardstick is not a reason to use the wrong yardstick. Both figures and their statistics are published in the bibliography	a longer price history, or a defensible set of listed peers whose own betas clear the same usability test

The pre-2020 portion of the price history is thin	the price export carries 162–195 sessions a year before 2020 against roughly 245 real exchange sessions. It affects only the longest calibration window, not the live bands, which are built on the post-2022 period	a complete exchange-sourced price history

Table 19 — every limitation this study knows about, and what would resolve it.

One caveat from the first edition is now closed: the FY2026 first-quarter interim, which could not be reached at any official source online, was supplied directly and is in this edition. The secondary reporting recorded then as an unverified cross-check turned out to be accurate to the pound on both sales and attributable profit.

What would change the conclusion, stated in advance so it can be checked: if the company disclosed biosimilar revenue on a path toward USD 133 million a year, the cash-flow lenses would move to the market price and this study would be wrong to have flagged the gap. If the FY2026 depreciation charge came in near EGP 118 million rather than EGP 304 million, the plant is not in service and the whole timetable in this study shifts out a year.

Appendix A — the financial statements

A.1 Income statement: three audited years and five forecast years

EGP million	FY2023	FY2024	FY2025	2026E	2027E	2028E	2029E	2030E
Revenue	5,232	7,591	9,441	10,694	12,612	14,621	16,637	18,608
Cost of sales	2,896	4,184	5,287	6,503	7,910	9,231	10,522	11,823
Gross profit	**2,335**	**3,406**	**4,154**	**4,191**	**4,702**	**5,390**	**6,115**	**6,785**
Gross margin	44.6%	44.9%	44.0%	39.2%	37.3%	36.9%	36.8%	36.5%
Selling and marketing	648	915	1,000	1,112	1,286	1,462	1,647	1,824
Research and development	43.2	70.5	70.9	90.9	113.5	138.9	166.4	186.1
General and administrative	147.5	188.5	221.1	251.3	296.4	336.3	379.3	418.7
Credit losses and provisions	265	702	494	561	662	768	873	977
Operating profit	**1,229**	**1,529**	**2,366**	**2,111**	**2,254**	**2,591**	**2,957**	**3,290**
EBITDA	1,335	1,631	2,484	2,415	2,679	3,037	3,394	3,713
Depreciation and amortisation	105.2	102.8	117.7	304.0	425.2	445.8	437.3	423.1
Finance costs	408	960	1,333	1,250	1,210	1,150	1,090	1,030
Share of associates	75	152	512	250	250	250	250	250
Profit attributable to shareholders	**822**	**1,096**	**1,442**	**891**	**1,031**	**1,335**	**1,660**	**1,961**
Attributable earnings per share (EGP)	5.53	7.37	8.90	5.28	6.11	7.91	9.84	11.62
memorandum: retained after a 40% payout	493	657	865	534	618	801	996	1,177

Table 20 — three audited years and five forecast years. Every forecast line is the model row the valuation itself uses. The attributable-profit line is attributable profit; the retained portion is a separate memorandum line beneath it, because the equity roll-forward in Appendix A.2 needs it. The finance-cost line is the charge the model carries, calibrated to the first quarter of 2026 — it is not the marginal cost of debt used in the discount rate, which is a different and higher forward rate. Earnings per share for FY2023 and FY2024 use the 148.76 million shares then in issue and FY2025 uses the audited weighted average of 162.02 million; the forecast columns use the 168.76 million now in issue.

A.2 Balance sheet

EGP million	FY2023	FY2024	FY2025	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E

Property, plant and equipment	964	1,045	3,070	6,174	6,857	6,820	6,591	6,376
Projects under construction	3,058	5,694	4,901	2,838	2,306	2,417	2,750	3,108
Inventories	2,242	3,585	3,887	4,721	5,591	6,323	7,063	7,774
Trade receivables	2,358	3,049	3,325	3,692	4,215	4,727	5,242	5,710
Cash and bank balances	676	1,295	1,433	1,433	1,433	1,433	1,433	1,433
Trade payables	176	410	780	980	1,214	1,442	1,672	1,879
Gross borrowings (the funding plug)	4,880	9,200	8,798	10,500	11,052	11,194	11,179	10,975
Net debt	4,204	7,905	7,364	9,066	9,619	9,761	9,745	9,541
Equity attributable to shareholders	4,257	4,654	6,243	6,777	7,396	8,197	9,193	10,369
Book value per share (EGP)	**28.62**	**31.28**	**37.00**	**40.16**	**43.83**	**48.57**	**54.47**	**61.45**

Table 21 — the balance sheet, WHICH BALANCES. The property and construction lines roll forward on the transfer schedule and working capital is projected from the disclosed day ratios; cash is held at the audited operating minimum and gross borrowings carry whatever the asset side needs that trade credit, provisions and equity do not supply. The first edition froze cash AND borrowings for five years while equity compounded, which left the forecast columns out by up to 6.6% of total assets with no check row to show it. Borrowings therefore RISE before they fall: the working-capital build and the first year's capital spending are debt-funded while a 40% payout continues. The lines above are a summary; the full statement, a total liabilities-and-equity row and an explicit balance-check row are in the accompanying model, where the check reads zero in every forecast column and carries residuals of −4.1, +0.2 and +0.4 million in the three audited columns — under 0.05% of total assets, from grouping the filed statement into these captions.

A.3 Cash flow and the working-capital markers

Marker	FY2025 audited	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Inventory days	268	265	258	250	245	240
Receivable days	129	126	122	118	115	112
Payable days	54	55	56	57	58	58
Cash conversion cycle	343	336	324	311	302	294
Capital expenditure (EGP m)	1,355	1,337	568	512	532	558
Free cash flow to the firm (EGP m)	—	-328	562	1,048	1,290	1,553

Table 22 — the asset-conversion cycle, projected rather than plugged. The 268-day inventory position is a stated policy: the company holds a strategic raw-material stockpile it says covers at least eight months.

A.4 The far forecast years as ranges, and the years that carry none

The method behind this forecast has been replayed on the company's own past — rebuilt year-end by year-end under the same mechanical rules, projected forward and scored against what the company later reported. That exercise measures how far out this method has been, and the far forecast years are published here as the RANGE that measurement supports rather than as points. It covers one, two and three years ahead, so the third forecast year carries a measured range and the fourth and fifth carry NONE. No range is invented for them: an invented one would corrupt the very error it is scored against.

EGP million	2028E	2029E	2030E	Basis of the range	Readings behind it
Revenue — as published	**14,621**	**16,637**	**18,608**	**—**	**—**
Revenue — low of the range	25,318	no measured range	no measured range	span	3
Revenue — high of the range	29,586	no measured range	no measured range	span	3

Cost of sales — as published	**9,231**	**10,522**	**11,823**	**—**	**—**
Cost of sales — low of the range	15,199	no measured range	no measured range	span	3
Cost of sales — high of the range	17,973	no measured range	no measured range	span	3
Gross profit — as published	**5,390**	**6,115**	**6,785**	**—**	**—**
Gross profit — low of the range	9,866	no measured range	no measured range	span	3
Gross profit — high of the range	11,481	no measured range	no measured range	span	3
Profit for the year — as published	**1,353**	**1,678**	**1,979**	**—**	**—**
Profit for the year — low of the range	2,326	no measured range	no measured range	span	3
Profit for the year — high of the range	4,606	no measured range	no measured range	span	3
Depreciation and amortisation — as published	**446**	**437**	**423**	**—**	**—**
Depreciation and amortisation — low of the range	250	no measured range	no measured range	span	2
Depreciation and amortisation — high of the range	269	no measured range	no measured range	span	2
Capital expenditure — as published	**512**	**532**	**558**	**—**	**—**
Capital expenditure — low of the range	1,103	no measured range	no measured range	span	2
Capital expenditure — high of the range	2,722	no measured range	no measured range	span	2

Table 23 — the third forecast year as a range, and the fourth and fifth stated as carrying none. The range is the point projection MULTIPLIED by how far the outturn came in from the projection at each replayed year-end, so a factor above one means the outturn came in ABOVE the projection — which is the direction almost every reading runs, because the method under-stated the scale of this company in a decade of currency moves rather than mis-stating its shape. Reading the multiplier the other way up would move a forecast the wrong way, and both values look equally ordinary on a page, which is why the direction is stated here rather than left to be inferred. The basis is a SPAN and is not called anything else: it is the widest and the narrowest of the readings behind it, not a percentile, because a percentile needs more readings than this record holds. The range at the third forecast year on revenue, cost of sales, gross profit and profit for the year is the full span of 3 past observations of this method's own error. That is too few to carry a probability, and none is claimed: it is the widest and narrowest this method has been on this company, not a confidence interval. The range at the third forecast year on depreciation and amortisation and capital expenditure is the full span of 2 past observations of this method's own error. That is too few to carry a probability, and none is claimed: it is the widest and narrowest this method has been on this company, not a confidence interval. The fourth and fifth forecast years are shown as published in Appendix A.1 and are marked here as carrying no measured range, because the replay covers three years ahead and no further. Nothing in this table changes the valuation: the fair-value range in the summary is struck on the point path above it, and this is the disclosure of how wide the method's own error has been around that path.

Appendix B — peers, risks and the research record

B.1 Peers

Company or reference	Multiple	Basis	Status in this study
Listed Saudi Arabian generics manufacturer	26.7x	trailing price / earnings	market data, cross-check only
Regional and international mid-cap generic manufacturers	~16x	trailing price / earnings	market data, cross-check only
STRUCK REFERENCE USED — the midpoint of the two observations above	21.35x	trailing price / earnings	the third leg of the relative lens, adjusted for the cost-of-equity gap. NOT a median of a disclosed peer set: only the two observations above are disclosed, the companies

			are not named, and this multiple therefore cannot be rebuilt from their filings
EIPICO today, on shares in issue	14.90x	trailing price / earnings	computed from audited attributable profit and the market price
EIPICO today, on the FY2025 weighted-average count	14.31x	trailing price / earnings	the same profit over the audited weighted average of 162.02 million shares. Both readings are published
EIPICO, own four-year mean	6.57x	trailing price / earnings	computed entirely from primary material — the second leg of the relative lens

Table 24 — the peer set. No peer figure is used to build any historical number for EIPICO; peers appear only as a cross-check.

B.2 Risks

Risk	How it would show up	Severity
The new plant under-delivers	depreciation and interest charged with no revenue against them; reported profit falls for two to three years	High
Administered price freeze	the domestic price-per-pack driver stops tracking inflation while imported input costs keep rising	High
Currency depreciation	the imported active ingredient plus the imported SHARE of packaging are 68.4% of the disclosed cost stack against a 32% export share — a weaker pound is net negative here. Counting the WHOLE packaging line as imported would give 79.4%, which the group's own primary-packaging manufacture rules out	High
Credit losses prove structural	the provision charge stays near 5.25% of revenue permanently; this is Frame A, and it is already the more conservative of the two published cases. A charge at the three-year mean of 6.52% instead would put Frame A at EGP 23.07 a share	Medium
Concentration in the domestic distributor channel	39% of revenue passes through distributors, and the company itself says it deals with a small number of them	Medium
Refinancing	EGP 8,798 million of gross borrowings against EGP 1,433 million of cash, half of it hard-currency	Medium
Controlling shareholder	a 51.34% holder whose interests may not align with the minority on capital allocation	Low to medium

B.3 The research record

Every figure in this study traces to a numbered source in the accompanying bibliography, which lists the primary documents actually read, every input with its value, date and construction, the judgements made with what would overturn each one, the searches that found nothing, and the places where a secondary source disagrees with the audited filing. Four consecutive audited financial years were obtained from the company's own investor-relations page: FY2022, FY2023, FY2024 and FY2025, each with the auditor's report and full notes, and each carrying both separate and consolidated statements.

Appendix C — three experts, three methods

Three analysts with genuinely different methods were asked the same question. They are labelled Expert 1, 2 and 3. Each shows their working, names the one sensitivity that matters most to their answer, and states in advance what would prove them wrong.

C.1 Expert 1 — the cash-flow analyst

Worldview: a company is worth the cash it will generate for whoever owns the capital, discounted at what that capital costs. Everything else is a shortcut to that number.

When it works: for a business with a stable, forecastable operating model and a capital structure that is not about to change. When it fails: when most of the value sits beyond the explicit forecast — which is the case here, at 79% of enterprise value in the terminal block.

Working	EGP million
Present value of five years of free cash flow	1,984
Terminal free cash flow	1,401
Terminal discount rate less growth	15.22% − 7% = 8.22%
Terminal value	18,229
Present value of the terminal value	7,675
Core enterprise value	9,659
Associates and assets held for sale	**2,991**
Less net debt and minorities	(7,368)
Equity value	5,282
Value per share (EGP)	31.30

Named sensitivity: the terminal discount rate. Every 100 basis points on it is worth roughly EGP 5 a share. At 79% terminal weight, this expert is mostly forecasting one number.

Falsifier, stated in advance: "If free cash flow to the firm in FY2027 comes in below EGP 393 million — 30% below my forecast — my five-year build is wrong and so is the terminal that grows out of it."

C.2 Expert 2 — the asset-and-return analyst

Worldview: forecasts are opinions; the balance sheet is a fact. Start from what the company owns, ask what return it earns on it, and pay a multiple of book that the return justifies. Never pay for growth you have not seen.

When it works: for asset-heavy businesses and in markets where forecasting is genuinely hard. When it fails: when a large part of the asset base is not yet earning, which understates the return and therefore the multiple.

Working	Value
Equity attributable to shareholders	EGP 6,243m
Shares in issue	168.756m
Book value per share	EGP 37.00
Return on average equity, FY2025	26.5%
Sustainable return on equity	18.8%
Perpetual cost of equity	17.16%
Growth	7%
Justified multiple of book = (return − growth) / (cost of equity − growth)	1.16x
Value per share (EGP)	**42.80**

Named sensitivity: the sustainable return. If it settles at 20% rather than 18.8%, the justified multiple falls to 1.28 times and the value to EGP 47.33 a share.

Falsifier: "If return on average equity falls below 18% in either FY2026 or FY2027, the 18.8% I am capitalising is a peak, not a level, and my multiple is too high."

This expert adds one point the others miss: EGP 4,901 million of the asset base earned nothing in FY2025. Measured against capital that is actually working, the return is far higher than 18.8% — which is an argument for paying up, and this expert declines to make it, because the plant has not yet demonstrated a return.

C.3 Expert 3 — the market-implied analyst

Worldview: do not ask what a company is worth. Ask what the market price already assumes, and judge whether those assumptions are reasonable. It is a discipline against arguing with a price.

When it works: when a price has moved a long way and the question is what it now embeds. When it fails: it never produces an independent value — it can only tell you what you are being asked to believe.

What the market price requires	Value
Market price	EGP 127.30
Value from the cash-flow model without the new plant	EGP 31.30
Gap to be explained	EGP 96.00 a share
Equity value of that gap	EGP 16,201m
Additional FY2030 revenue required at a 45% contribution margin	EGP 9,342m
as a share of FY2030 revenue	33%
in US dollars a year	USD 133m
against the plant's stated cost of USD 100 million	1.33x asset turn
Implied value per share if that is delivered	EGP 127.30

Named sensitivity: the contribution margin assumed on the new revenue. At 35% rather than 45%, the required revenue rises to about EGP 12,011 million, or USD 171 million a year.

Falsifier: "If the company discloses biosimilar revenue below USD 20 million a year in its third full year of operation, the price is not discounting a plausible ramp — it is discounting a hope."

C.4 Cross-examination

Challenge	Conceded or rejected
Expert 2 to Expert 1: "Three-quarters of your value is a terminal number. You are not forecasting cash flow, you are forecasting a perpetuity."	CONCEDED. Expert 1 accepts the terminal weight is high and points to the sensitivity table as the honest response: the published grid across a plausible terminal cost of equity and growth combination runs EGP 16 to EGP 46 a share, and the WHOLE of that range is published rather than its comfortable half.
Expert 1 to Expert 2: "You are capitalising a return earned on a capital base that excludes a third of the assets. Your multiple is measured against the wrong denominator."	REJECTED, with a qualification. Expert 2 answers that book equity is book equity, and that a plant which has not yet earned anything belongs in the denominator until it does — but concedes the lens will understate the company for as long as that remains true, and says so in the study.
Expert 3 to both: "You are both producing numbers below the market price and neither of you can say why the market is wrong."	CONCEDED, and it is the point. Neither cash-flow nor book-based lens contains the new plant's revenue. Expert 3's contribution is to convert that omission into a testable number rather than an argument.
Expert 2 to Expert 3: "Your method assumes the gap is entirely the new plant. It could be the associates, or a re-rating of Egyptian equities generally."	CONCEDED in part. Expert 3 agrees the attribution is a choice, and notes the associate stake would have to be worth roughly three times the value assumed here to close the gap on its own — which is possible, and is a second testable proposition rather than a refutation.

Expert 1 to Expert 3: "A 45% contribution margin on biosimilars is your assumption, not a disclosure."	CONCEDED. Expert 3 sensitises it explicitly rather than defending it, and the study publishes both.

C.5 The three in one room

Put together, the disagreement narrows to a single question, which is a good sign. All three agree on the audited history, on the cost of capital construction, and on the fact that the depreciation step is real and has already arrived. On the existing business — 65% capacity utilisation, a growing export book earned in hard currency, an administered domestic price that at least tracks inflation — their own worked values run from EGP 31.30 to EGP 42.80 a share, and the study's own two centres, EGP 31.30 and EGP 47.51, sit inside that. Those are the numbers; no wider claim is made for the business than its own lenses support.

Where they part is what the new plant is worth today. Expert 1 says: nothing until it produces cash, so EGP 31.30. Expert 2 says: nothing until it produces a return, so EGP 42.80. Expert 3 says: the market says EGP 96.00 a share, which requires USD 133 million a year of biosimilar sales, and that is a proposition rather than a valuation. The room does not resolve it. It converts it into something a reader can check in twelve months.

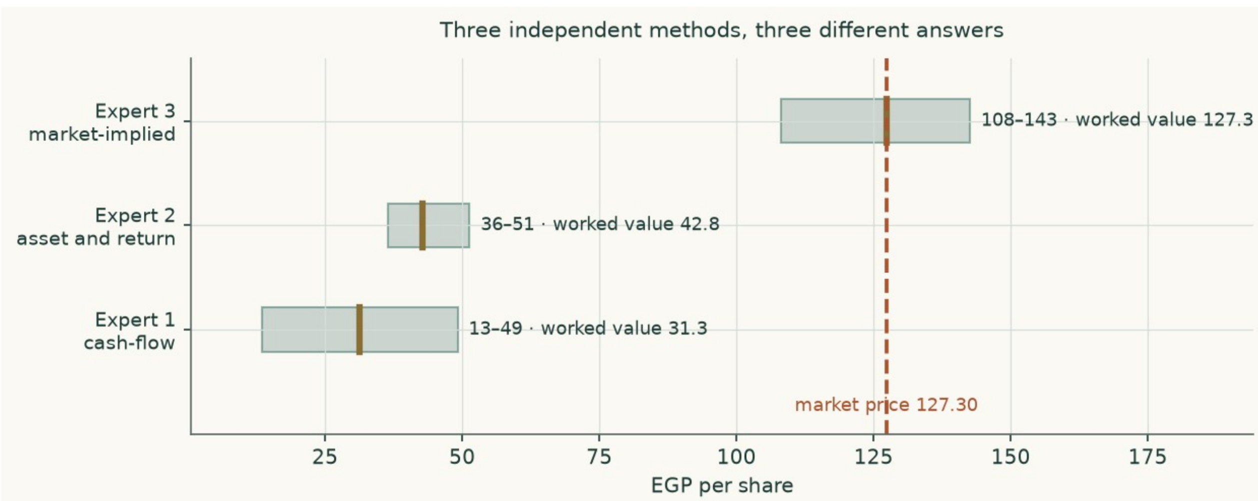

Figure 8 — three methods, three ranges, one market price.

C.6 Divergence table — which assumption drives which gap

Pair	Gap (EGP/share)	The single assumption that drives it
Expert 1 less Expert 2	-11.50	whether five years of forecast growth is credited at all. Expert 1 discounts it; Expert 2 refuses to pay for growth not yet earned
Expert 3 less Expert 1	96.00	entirely the biologicals plant's revenue, which Expert 1 sets to zero and Expert 3 infers from the price
Frame A less Frame B	-16.21	the credit-loss and provision charge alone — 5.25% of revenue permanently against a decay to 2.5%. Nothing else differs between the two
Frame A centre less market price	-96.00	the sum of the above: no plant revenue, a relative lens anchored on what the company's own return justifies, and a normalised rather than peak margin
Frame B centre less market price	-79.79	the same, with the provision charge normalising instead of permanent
Frame A centre less Frame B centre	-16.21	the contested judgement alone, carried through the whole model. This is the number an average would have hidden

Table 25 — every gap in this study isolated to the assumption that causes it.

About this study

This is an independent, educational valuation study. It was prepared from the company's own audited financial statements and its own published operating disclosures, obtained directly from its investor-relations page. The valuation model behind it is a live spreadsheet: every figure that can be derived from a driver is a formula, and changing a driver reprices the model. That claim was tested on the delivered file rather than asserted — every formula cell was independently recalculated and reconciled to the model, and each input was perturbed in place to confirm the answer moves in the right direction.

The probability map in section 3 comes from a simulation engine calibrated on the Egyptian market as a whole and tested by re-running it across the full price history without letting it see the future. What that testing establishes about this individual share — how often the outcome fell inside the band, whether it fell uniformly within it, and how wide the band is — is reported in section 3, with the window counts behind each figure.

Disclosure

This document is educational analysis, not investment advice, and not a recommendation to buy, sell or hold any security. It contains no rating and no price target. Fair value is expressed as a range and as a distribution because that is what the evidence supports.

The author holds no position in the securities discussed and receives no compensation from the company, its shareholders or any party with an interest in its share price. The study was not commissioned by, shown to, or reviewed by the company before publication.

All historical financial figures are the company's own audited consolidated figures as published in its annual reports. Forward-looking figures are the author's estimates and will be wrong in detail; the sensitivity analysis in section 1.9 and the caveats in section 7 state by how much and in which direction. Market data used for peer comparison is labelled as such and is not used to construct any figure about the subject company.

Past performance and back-tested performance are not guides to future results. A probability band is not a guarantee: one outcome in ten is designed to fall outside a 90% band.